Exercise 3 • Balance Sheet Classification & Working Capital

# Libby's Company Balance Sheet Classification & Solvency Audit

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*Prepare the BALANCE SHEET of Libby's Company using the following figures (in euros): Short-term loan debts 15.500 | Long-term loan debts 3.000 | Money on its bank account 3.000 | Cash 500 | Paid-in capital 12.000 | Accounts receivable 3.500 | Accounts payable 1.500 | Equipment 13.000 | Raw materials (purchased this year but not used yet) 12.500 | Furniture 1.500 | Retained earnings from the year 2.000.*

EXAM DAY STRATEGY: STANDARD ACCOUNT CLASSIFICATION & DOUBLE WC VERIFICATION

- **5-Block Balance Sheet Architecture:** Always group accounts into standard financial blocks:
  1. **Non-Current Assets (Activo No Corriente):** Productive durable capital ($> 1$ year) $\implies$ Equipment (€13,000) + Furniture (€1,500) = $\mathbf{€14,500}$.
  2. **Current Assets (Activo Corriente):** Operating cycle liquid items ($\leq 1$ year) $\implies$ Raw materials inventory (€12,500) + Accounts receivable (€3,500) + Bank (€3,000) + Cash (€500) = $\mathbf{€19,500}$.
  3. **Stockholders' Equity (Patrimonio Neto):** Owner funding & internal retained profits $\implies$ Paid-in capital (€12,000) + Retained earnings (€2,000) = $\mathbf{€14,000}$.
  4. **Non-Current Liabilities (Pasivo No Corriente):** External obligations with maturity $> 1$ year $\implies$ Long-term loan debts = $\mathbf{€3,000}$.
  5. **Current Liabilities (Pasivo Corriente):** Short-term obligations due within 1 year $\implies$ Short-term loan debts (€15,500) + Accounts payable (€1,500) = $\mathbf{€17,000}$.
- **Dual Verification of Working Capital (Fondo de Maniobra):**

$$\text{Method 1 (Operational): } \mathbf{WC} = \text{Current Assets} - \text{Current Liabilities} = 19,500 - 17,000 = +\mathbf{2,500}\ €$$

$$\text{Method 2 (Financing): } \mathbf{WC} = (\text{Equity} + \text{Non-Current Liabilities}) - \text{Non-Current Assets} = (14,000 + 3,000) - 14,500 = +\mathbf{2,500}\ €$$

  *(Both methods MUST yield identical values. If they differ, an account was misclassified).*
- **Exam Trap 1 – Retained Earnings Placement:** "Retained earnings from the year" represents accumulated profits belonging to owners; it is part of **Stockholders' Equity**, never a liability!
- **Exam Trap 2 – Receivables vs Payables:** "Accounts receivable" (Deudores comerciales/Clientes) is an Asset (money owed to Libby's); "Accounts payable" (Acreedores/Proveedores) is a Current Liability (money Libby's owes to suppliers).
- **Exam Trap 3 – Loan Debt Horizon:** Short-term loan debt (€15,500) must be clearly separated from long-term loan debt (€3,000). Grouping them together forfeits solvency points.

## Phase 1: Standard Account Categorization Matrix

Assigning each ledger line item to its statutory destination:

- **Non-Current Assets:** Equipment (€13,000) + Furniture (€1,500) = **€14,500**.
- **Current Assets:** Raw materials inventory (€12,500) + Accounts receivable (€3,500) + Bank (€3,000) + Cash (€500) = **€19,500**.
- **Stockholders' Equity:** Paid-in capital (€12,000) + Retained earnings (€2,000) = **€14,000**.
- **Non-Current Liabilities:** Long-term loan debts = **€3,000**.
- **Current Liabilities:** Short-term loan debts (€15,500) + Accounts payable (€1,500) = **€17,000**.

## Phase 2: Formal Balanced Balance Sheet

| **ASSETS (Activo)** | **Amount (€)** | **LIABILITIES & EQUITY (Pasivo y PN)** | **Amount (€)** |
|---|---|---|---|
| **NON-CURRENT ASSETS (Activo No Corriente)** | **14,500** | **STOCKHOLDERS' EQUITY (Patrimonio Neto)** | **14,000** |
| • Tangible Fixed Assets: Equipment | 13,000 | • Paid-in Share Capital | 12,000 |
| • Tangible Fixed Assets: Furniture | 1,500 | • Retained Earnings from the year | 2,000 |
| **CURRENT ASSETS (Activo Corriente)** | **19,500** | **NON-CURRENT LIABILITIES (Pasivo No Corriente)** | **3,000** |
| • Inventories (Raw materials not used yet) | 12,500 | • Long-term loan debts | 3,000 |
| • Accounts Receivable (Customers) | 3,500 | **CURRENT LIABILITIES (Pasivo Corriente)** | **17,000** |
| • Cash & Cash Equivalents: Bank account | 3,000 | • Short-term loan debts | 15,500 |
| • Cash & Cash Equivalents: Cash on hand | 500 | • Accounts payable (Trade suppliers) | 1,500 |
| **TOTAL ASSETS** | **34,000** | **TOTAL LIABILITIES & EQUITY** | **34,000** |

SOLVENCY, LIQUIDITY & LEVERAGE RATIOS

**1. Working Capital:** $\text{WC} = \text{CA} - \text{CL} = 19,500 - 17,000 = +\mathbf{2,500}$ € (Positive safety cushion: permanent resources finance all non-current assets plus $12.8\%$ of current assets).

**2. Current Ratio (Short-Term Solvency):** $\text{CR} = \frac{\text{CA}}{\text{CL}} = \frac{19,500}{17,000} = \mathbf{1.147}$ (Adequate coverage $> 1.0$, but tightly bound to inventory liquidation).

**3. Acid-Test (Quick Ratio):** $\text{QR} = \frac{\text{Cash} + \text{Receivables}}{\text{CL}} = \frac{3,500 + 3,500}{17,000} = \frac{7,000}{17,000} = \mathbf{0.412}$ (Highlights that $64.1\%$ of current assets are tied up in raw materials).

**4. Debt Structure & Leverage:** $\text{Total Debt} = 3,000 + 17,000 = 20,000$ €. $\text{Debt-to-Equity} = \frac{20,000}{14,000} = \mathbf{1.429}$. Crucially, $\frac{15,500 + 1,500}{20,000} = \frac{17,000}{20,000} = \mathbf{85\%}$ of total indebtedness (short-term loans plus trade payables) matures within a year, requiring proactive refinancing; the short-term loans alone are $\frac{15,500}{20,000} = 77.5\%$.

Study notes written from the official course material (T3_Financial Statements_EXERCISES.pdf; Topic 3 Financial Management (I).pdf). Online version: subjects/business-management/problemas/topic-3-financial-statements.html